

FEDERAL MARITIME COMMISSION

Office of the Administrative Law Judges

AGRIBUSINESS HOLDINGS LIMITED PARTNERSHIP D/B/A
BRIDGEWELL AGRIBUSINESS, LLC, *Claimant*

v.

BAL CONTAINER LINES CO., LTD., *Respondent*.

DOCKET NO. 2020(I)

Served: March 18, 2025

BEFORE: Theresa DIKE, *Small Claims Officer*.

ORDER APPROVING SETTLEMENT AND DISMISSING PROCEEDING

On December 19, 2024, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), stating that Claimant Agribusiness Holdings Limited Partnership d/b/a Bridgewell Agribusiness, LLC (“Bridgewell”) had filed an informal complaint against BAL Container Lines, Ltd. (“BAL”). Bridgewell alleges that BAL violated 46 U.S.C. § 41104(a)-(d), based on its failure to issue invoices for detention and demurrage (“D&D”) charges, while still demanding that Bridgewell remit D&D payments to ensure the release of its cargo.

The Secretary instructed Respondent to file its response to the Claim by January 13, 2025, and to indicate whether it consented to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

On March 11, 2025, the parties submitted a Joint Motion for Approval of Confidential Release and Settlement Agreement (“Joint Motion”) and a signed copy of their settlement agreement, requesting approval of their settlement agreement and dismissal of Bridgewell’s Claim with prejudice. Respondent has not yet filed a response to the Claim and did not object to the adjudication of this proceeding under the informal procedures. Accordingly, on March 18, 2025, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures.

The parties ask that the Claim be dismissed based on a settlement agreement between them resolving the issues in dispute. Pursuant to the Commission’s Rule 72(a)(3):

[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's consistent policy is to "encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid." *Access One Transport, Inc., v. CMA CGM S.A.*, Docket No. 24-18, 2024 WL 5119296 at *1 (ALJ Dec. 10, 2024) (quoting *Inlet Fish Producers, Inv. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ May 9, 2002) and *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 21 F.M.C. 506, 512, 18 S.R.R. 1085, 1091 (ALJ Nov. 29, 1978)). Although it generally follows this policy, "the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Access One*, 2024 WL 5119296 at *2 (quoting *Old Ben Coal*, 18 S.R.R. at 1093). A settlement agreement that does not violate any law or policy and is free of fraud, duress, undue influence, mistake, or other defect which might make it unapprovable would likely be approved. *Id.* "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134, 1988 WL 340657 at *7 (ALJ Aug. 12, 1988).

The parties argue that the confidential release and settlement agreement should be approved, stating:

In this action, the parties, both sophisticated corporate entities, arrived at the Confidential Release and Settlement Agreement through arm's length negotiations and support this Motion and the relief that it seeks. The Confidential Release and Settlement Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Instead, the Confidential Release and Settlement Agreement is a fair and reasonable resolution of the dispute between the Parties and reflects their desire to resolve their issues without the need for costly and uncertain litigation. For these reasons, the Parties respectfully request that the Confidential Release and Settlement Agreement be approved and, on that basis, the complaint in this matter be dismissed with prejudice.

Joint Motion at 3-4.

A review of the settlement agreement, which is signed by both parties, does not show any indicia of fraud, duress, undue influence, or mistake, and appears to reflect an arm's-length resolution between the parties. The parties are both represented by their own counsel. The terms appear to be fair, reasonable, and adequate. Accordingly, the settlement agreement is approved, and this proceeding dismissed with prejudice, as requested.

The parties request confidentiality for their settlement agreement, asserting that their settlement "is the result of confidential commercial negotiations between the parties[.]" Joint Motion at 4. The Commission has recognized that "settlement agreements often contain sensitive commercial information that should be protected from public disclosure." *D.F. Young, Inc. v. NYK Line (North America) Inc.*, Docket No. 16-02, 2018 WL 2411779, at *2 (FMC May 22, 2018). However, the Commission has also stated that a party should "provide good cause demonstrating why any of the terms of the settlement are trade secret or other confidential research, development, or commercial information[.]" *Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Docket No. 2014(I), 2024 WL 5054939, at *1 (FMC Dec. 4, 2024).

Here, the parties assert that their "Confidential Release and Settlement Agreement is the result of confidential commercial negotiations between the parties" and they "respectfully request leave to file the Confidential Release and Settlement Agreement under seal for review and approval, and that the Confidential Release and Settlement Agreement thereafter continue to be afforded confidential treatment by the FMC." Joint Motion at 4. Since the parties indicate that their agreement contains confidential commercial information, their request to keep the terms of the settlement agreement confidential is reasonable and thus granted.

Upon consideration of the proposed settlement, the parties' joint motion to dismiss, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.

THERESA DIKE Digitally signed by THERESA DIKE
Date: 2025.03.18 10:24:09 -04'00'

Theresa Dike
Small Claims Officer